

The AI you didn't buy.

What UK businesses say they use, what their staff probably use, and the rules in between.

ABOUT THIS REPORT

The best data is a year old. We say which year.

UK government measured AI adoption in spring 2025. Tools and habits have moved since. We use the numbers, date them, and avoid stretching them.

SOURCE 01

DSIT AI Adoption Research

Government, published January 2026. 3,500 businesses with 5 or more staff. Fieldwork February to May 2025.

SOURCE 02

Cyber Security Breaches Survey 2025/26

DSIT and Home Office, 30 April 2026. Fieldwork August to December 2025. New AI questions.

SOURCE 03

IBM Cost of a Data Breach 2025, UK

Vendor-sponsored study of organisations that had breaches. UK sample size not published.

SOURCE 04

ICO and the AI Cyber Code

The regulator's AI guidance (2023, under review) and the Government's voluntary code of practice.

SOURCE 05

Microsoft Work Trend Index

2024 edition, global, vendor-run. Used once, labelled, for the unofficial-tools figure.

DO NOT COMPARE

Government's two adoption figures use different size bands, bases and years. They are not a trend, and we never put them side by side as if they were.

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EXECUTIVE SUMMARY

Adoption is rising. Control is lagging.

23%

of mid-sized UK businesses used AI in spring 2025; 16% across all businesses[1]

64%

of mid-sized AI users say limited skills hold back wider rollout[1]

24%

of businesses using or considering AI have security practices for its risks[2]

31%

of UK organisations in IBM's study have policies to govern AI use[3]

What the data says

Government's survey found one in six businesses using AI, rising to nearly one in four mid-sized ones, mostly off-the-shelf text tools. Skills, not cost, is the main brake. Its own authors note that it cannot see unofficial use, and a later government survey finds only about a quarter of businesses that use, are adopting or are considering AI have security practices for its risk.[1,2]

What it means

The gap that matters is between the AI a business has chosen and the AI its people actually open. The first is a procurement question. The second is a data question, and it is probably the bigger one.

Our view: the cheapest first step is not a ban. It is a short approved list, a clear red line on data, and a named owner.

DATED DATA

The government adoption study was fielded in spring 2025, about 18 months ago. Use the direction, not the decimals.[1]

Sources: 1 DSIT AI Adoption Research. 2 Cyber Security Breaches Survey 2025/26. 3 IBM Cost of a Data Breach 2025, UK edition (vendor-sponsored).

CHAPTER 01 · WHAT WAS MEASURED

16%

of UK businesses with five or more staff were using at least one AI technology in spring 2025. A further 5% planned to.[1]

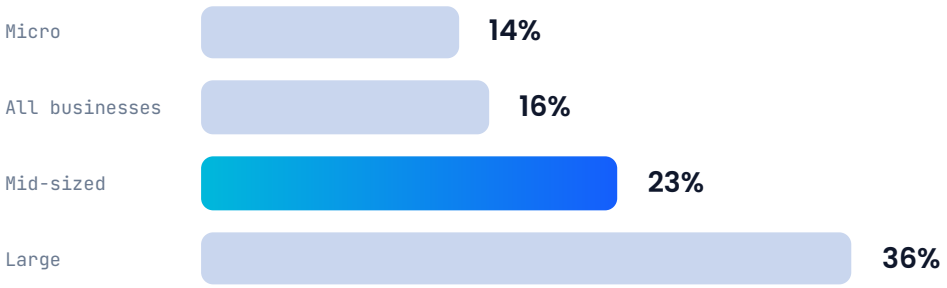
One in six. As far as anyone was told.

01

01 · WHAT WAS MEASURED

Bigger firms lead. Mid-sized firms follow.

Share of businesses currently using at least one AI technology, by size, from the government's spring 2025 study.



DSIT AI Adoption Research. Micro is 5 to 9 staff, mid-sized 50 to 249, large 250 or more. Base: 3,500 businesses with 5 or more staff.

43%

in information and communication, the highest sector. Business services 23%, finance and real estate 21%.[1]

20%

of London businesses were using AI.[1]

21%

of businesses reported adopting some AI tools in a later survey; 39% of medium and 45% of large. Different base and year.[2]

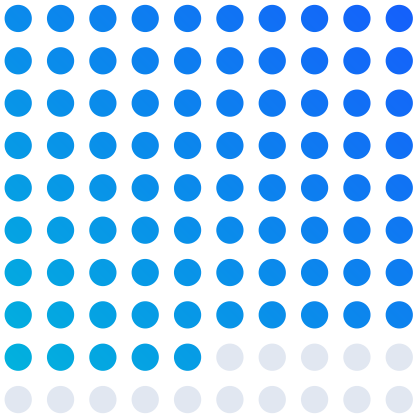
Sources: 1 DSIT AI Adoption Research (fieldwork Feb to May 2025). 2 Cyber Security Breaches Survey 2025/26 (Aug to Dec 2025; businesses with 1 or more staff). Not comparable.

01

01 · WHAT WAS MEASURED

Mostly off-the-shelf, mostly text.

Among businesses that use AI, the tools are the ones anyone can open in a browser.



85 IN 100 AI USERS

85%

of AI-using businesses use natural-language processing or text generation. The authors link this to the availability of off-the-shelf generative tools.[1]

7%

of AI users use agentic AI, the kind that takes actions on its own.[1]

30%

of staff use AI at the average adopting business. 77% say fewer than half do.[1]

84%

of adopters report at least some checking of AI outputs. 77% for medium firms.[1]

OUR VIEW

Text tools are the easiest to start and the easiest to leak through: a pasted contract, a customer list, a draft board paper. The risk is in what people type, not in the tool.

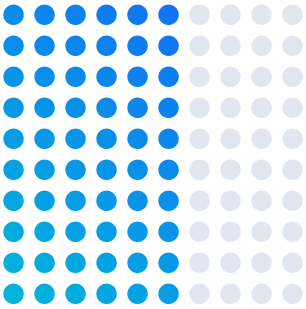
Source: 1 DSIT AI Adoption Research, base: 700 businesses using AI. Fieldwork Feb to May 2025.

01

01 · WHAT WAS MEASURED

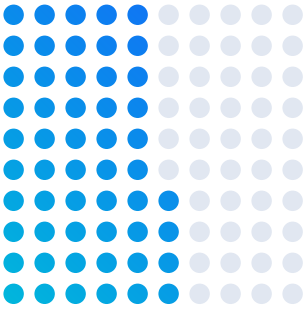
Skills are the brake, not cost.

When government asked what holds businesses back, the answers were about people.



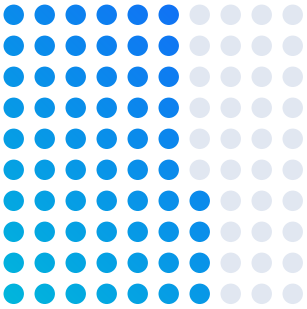
60%

of all businesses cite limited AI skills, expertise and knowledge[1]



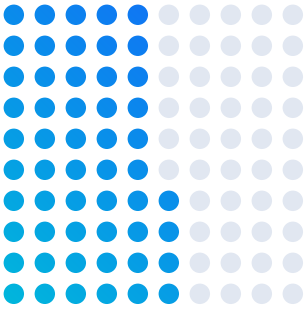
54%

of AI users say limited skills hinder wider rollout[1]



64%

of mid-sized AI users say the same[1]



54%

of AI users feel ready to scale (13% completely)[1]

Base: all businesses (60%); businesses that use AI (54%, 64%, 54%).

READ CAREFULLY

Government also found that of those who cited each barrier, 80% rated ethical concerns as significant, 76% cost and 72% unclear regulation. Those are ratings among people who raised the barrier, not shares of all firms.[1]

OUR VIEW

Skills include knowing what not to paste. A short, practical briefing on data does more for safety than a long policy few have read, and it is the cheapest part of an AI programme.

Source: 1 DSIT AI Adoption Research. Fieldwork Feb to May 2025.

CHAPTER 02 · WHAT WAS NOT MEASURED

The survey cannot see the other half.

IN THE RESEARCHERS' OWN WORDS

"A limitation of this approach is that the survey will not provide insights into shadow AI adoption."[1]

78%

of AI users bring their own AI tools to work, in Microsoft's 2024 global survey: 80% at small and mid-sized companies. Vendor-run, global, two years old.[4]

WHY WE SHOW IT

It is the only large survey figure on unofficial use we could read at source. It is not about the UK and not about 2026, so treat it as a sign of direction, not a measurement of your business.

WHAT GOVERNMENT SURVEY RESPONDENTS WERE

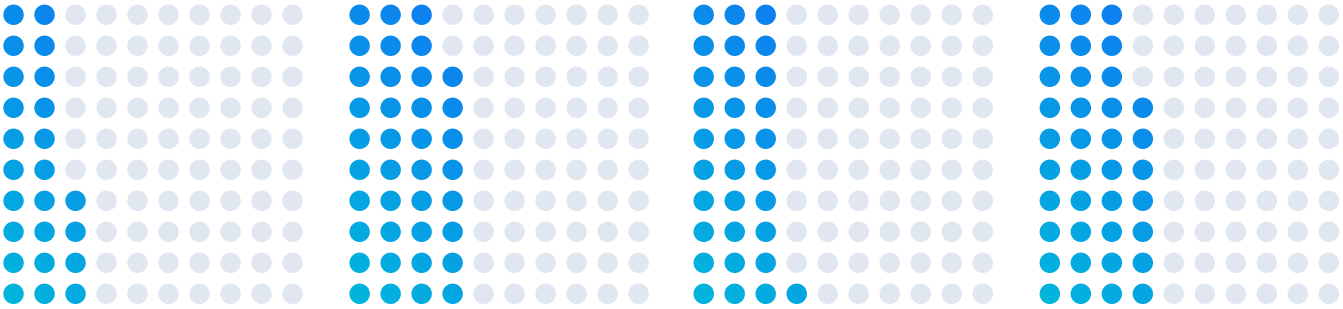
The person with oversight of technology. Their answers describe tools the business has chosen, not everything its people open in a browser tab.[1]

02

02 · WHAT WAS NOT MEASURED

Rules and controls trail the tools.

Two sources, two bases. They point the same way and should not be added together.



24%

of businesses using or considering AI have security practices for its risks[2]

38%

more plan to within 12 months; 31% have no plans[2]

31%

of UK organisations in IBM's study have AI governance policies[3]

37%

have AI access controls in place; 63% do not[3]

Columns 1–2: businesses using, adopting or considering AI (CSBS 2025/26). Columns 3–4: UK respondents to IBM's study of breached organisations.

£498k

extra average breach cost for organisations with high levels of unsanctioned AI use, among IBM's global findings. A correlation, not proof of cause.[3]

GOVERNMENT'S INTERVIEWS

"Very few businesses said they had any internal guidelines or specific policies around using AI responsibly or ethically." Larger businesses were more likely to. This is from 100 qualitative interviews, so there is no percentage.[1]

Sources: 1 DSIT. 2 CSBS 2025/26. 3 IBM UK release, 30 July 2025 (vendor-sponsored; UK sample size not published).

03 · RULES THAT ALREADY APPLY

Two sources of guidance. Neither is new.

ICO · DATA PROTECTION

Where AI processes personal data, you need a lawful basis chosen before you start. The ICO says that in the vast majority of cases AI use is likely to be high risk and so triggers a data protection impact assessment. Where you decide it is not, document how you decided.[5]

Core guidance last updated March 2023 and under review because of the Data (Use and Access) Act. This does not mean every AI tool needs an assessment: it applies where personal data is processed.

GOVERNMENT · AI CYBER CODE

A voluntary code of 13 principles for the cyber security of AI, covering organisations that deploy AI as well as those that build it. Six that matter most to a business buying tools:[6]

- Raise awareness of AI security threats and risks
- Evaluate the threats and manage the risks to your AI system
- Enable human responsibility for AI systems
- Identify, track and protect your assets
- Secure your supply chain
- Monitor your system's behaviour

NOT LAW

The code is voluntary. We did not verify the status of any related international standard or of any UK AI bill, and we make no claim about either.

Sources: 5 ICO guidance on AI and data protection (accountability and lawfulness). 6 Code of Practice for the Cyber Security of AI, GOV.UK (January 2025).

04 · A ONE-PAGE AI POLICY

Five lines. One page.

A starting point, not a legal document. It maps to play 04 of The Resilience Playbook.

An approved list	Name the AI tools staff may use for work, and how to request another.
A red line	Say, in one sentence, what must never be pasted in: customer data, contracts, credentials, source code.
An owner	One person with authority to approve, review and say no.
A check on personal data	Where a tool touches personal data, decide the lawful basis and whether an impact assessment is needed.
A briefing	Ten minutes, once a quarter, with real examples. Not an annual course.

ILLUSTRATIVE

Our suggestion, built from the sources in this report. Take legal advice before relying on it for personal data or contracts.

SOURCES AND METHOD

Where this comes from.

1 DSIT. **AI Adoption Research.** Published 28 January 2026; research by IFF Research and Technopolis Group. gov.uk/government/publications/ai-adoption-research/ai-adoption-research. 3,500 telephone interviews, 12 February to 2 May 2025, plus 100 qualitative interviews.

2 DSIT and Home Office. **Cyber Security Breaches Survey 2025/26.** Official statistics, 30 April 2026. Fieldwork August to December 2025; 2,112 businesses. AI section 3.11.

3 IBM. **UK sees drop in breach costs as AI speeds detection.** 30 July 2025. uk.newsroom.ibm.com/2025-cost-of-data-breach-UK. Sponsored by IBM; run by the Ponemon Institute.

4 Microsoft and LinkedIn. **Work Trend Index 2024: AI at work is here.** 8 May 2024. 31,000 knowledge workers in 31 markets; vendor-run.

5 ICO. **Guidance on AI and data protection**: accountability and governance; lawfulness. ico.org.uk. Core guidance updated 15 March 2023; under review.

6 GOV.UK. **Code of Practice for the Cyber Security of AI.** Published 31 January 2025. Voluntary.

METHOD NOTES

Accurate as of 27 October 2026. Government's two adoption figures differ in size bands and years and are not a trend. The government study cannot measure shadow AI. IBM's figures cover organisations that had breaches; its £498,000 finding is listed under global results and is a correlation. We did not read a 2025 or 2026 Microsoft Work Trend Index at source. Any UK AI legislation or standards status was not verified and is not claimed.



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Microsoft Copilot consulting and managed IT
for UK businesses.

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Modern Work

Microsoft Solutions Partner
Security

LRQA CERTIFIED
LRQA CERTIFIED
ISO 14001
CYBER ESSENTIALS
CERTIFIED PLUS
OFFENSIVE
OSCP

aws
PARTNER
Advanced Tier
Services

CISCO
Partner